



## **Qualification Programme Examination Panelists' Report**

### **Module 14 – Taxation (December 2024 Session)**

*(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance on the examination.)*

#### **(I) Section A – Case Questions**

##### **General Comments**

The case involved a Hong Kong investment company of a Multi National Enterprise ("MNE") group, deriving both onshore and offshore gains, that experienced a substantial change in operating structure leading to adverse tax consequences under the new Foreign Source Income Exemption ("FSIE") regime.

The FSIE regime has been in place in Hong Kong since late 2022 and underwent a few modifications to meet regulatory requirements. The Inland Revenue Department ("IRD") has released a detailed guideline to specifically cover this topic with explanations of the key components and illustrative examples to clarify how the rules should be applied in practice; thus, reference materials for this topic are sufficient. In addition, most of the other topics tested in this section were common in past examination papers, thus balancing the overall difficulty level of questions in this section.

The rich information provided in the case was to stimulate thoughts of candidates in answering questions that required practical application of tax technical knowledge. Candidates were expected to make good use of case information to support their analysis and conclusion, like a tax professional in delivering a tax advice in real life situations. Candidates are reminded not to merely copy study materials without addressing the specific issues to give a meaningful solution, which usually results in low marks.

To achieve good performance in the section, candidates should allow themselves reasonable time to read the case carefully, extract the information and critically think how it can be applied in tax analysis. Once the relevant information is identified, the tax analysis should follow naturally. Candidates are encouraged to use common sense in this thinking process.

Lastly, candidates are encouraged to pay attention to tax calculation as this was the area where they showed significant weakness in this section. From a time management perspective, a correct tax calculation involves less writing effort than several short paragraphs, yet the marks rewarded are more or less the same. Therefore, the price for not getting the tax calculation right or even not answering the question at all cannot be under-estimated.



### **Specific Comments**

#### **Question 1(a) – 6 marks**

This question required candidates to analyse and conclude the source of disposal gains for shares listed outside Hong Kong. This is a very straightforward question and this topic of source of profit has appeared in past examinations a few times, so generally the performance of candidates was satisfactory. A few candidates for unknown reasons performed the analysis along the FSIE regime which was irrelevant to the question requirements and thus scoring no mark. Candidates are reminded to read the question requirements carefully before answering.

#### **Question 1(b) – 6 marks**

This question required candidates to apply the rules specified in Article 13 Capital Gains of the double tax agreement between Hong Kong SAR and mainland China in analysing the taxing right on share disposal gains. It was a straightforward question as long as the candidate followed the instructions given in the question requirements and applied the facts correctly against each rule. Candidates that managed to do this scored very high marks. On the other hand, many candidates were confused, possibly due to seeing this type of question for the first time, and failed to write any relevant analysis and thus scoring very low marks. Performance of candidates was diverse.

#### **Question 1(c) – 10 marks**

This question required candidates to compute the assessable profits and then the effective tax rate of the Hong Kong company. The tax adjustments required were straightforward except the apportionment and disallowance of expense attributable to offshore income, which most candidates appeared unfamiliar with. A number of candidates were not aware that the interest expense was related to the non-taxable share disposal gains and thus disallowable. Some of them went through irrelevant lengthy analyses which may have negatively affected their time allocation to answer the rest of the questions. Unexpectedly, the performance of candidates was poor, and many candidates did not even attempt this question.

#### **Question 2(a) – 7 marks**

This question required candidates to explain the key components of FSIE regime and apply the facts of the case to analyse the taxation of the share disposal gains. This is the first time this topic was tested, yet candidates' performance was satisfactory, with abundant information readily available in the study materials and from the IRD's guidelines. Most candidates provided satisfactory answers and scored reasonable marks, though the presentation of their answers had significant room for improvement.



Question 2(b) – 3 marks

This question was an extension of Question 2(a) by testing candidates' practical skills on assimilating relevant information from the case to further analyse how the tax outcome would be different due to changes in business circumstances. For those candidates who correctly considered K Limited as a pure equity holding company, they generally scored very high marks because the lack of business substance in Hong Kong due to the business change was obviously leading to the correct tax outcome. Candidates who did not identify this fact or even did not attempt this question, scored low marks. Performance of candidates was diverse.

Question 3 – 12 marks

This question required candidates to write a tax advisory letter concerning the taxation treatments of certain termination payments. Candidates generally performed very well and some scored full marks possibly because this topic has appeared in past examinations and candidates were well prepared for these types of questions. Candidates are reminded on the importance of reading the question requirements carefully, as writing the answer in the wrong format (letter vs memo vs email) will lose the opportunity to earn the marks for demonstrating communication skills.

Question 4(a) – 4 marks

This question required candidates to discuss the Anti-Money Laundering/ Counter-Terrorist Financing issues relating to Customer Due Diligence ("CDD") and internal/ external reporting in an engagement acceptance situation. This case was written in such a way that several red flag indicators existed around the transaction and the background of the client, and candidates were required to read the case and extract relevant information to support their answers. Though the suggested answer was exceptionally comprehensive, the focus was the awareness of these red flag indicators, internal reporting to the Firm's Money Laundering Reporting Officer, making an external Suspicious Transaction Report to the Joint Financial Intelligence Unit, and finally the "tipping off" issue. Performance of candidates was diverse. Some candidates made a good attempt by writing relevant information and scored almost full marks by providing relevant analysis. Other candidates went towards the wrong direction by writing points relating to professional ethics and thus scoring low marks.

Question 4(b) – 2 marks

This question required candidates to suggest typical documents for client identification in a CDD/ Know Your Customer process. This is a very practical question but the answer can be easily found in the guidelines or from daily work experience. Performance of candidates was diverse. Many candidates did not perform well as they mistook the information as related to the company rather than Adam as specified in the question requirements.

**(II) Section B – Essay/Short Questions**

**General Comments**

This section contained questions on various areas, including profits tax and salaries tax computations, salaries tax liabilities on certain benefit-in-kind and expenses items, domestic rent deduction, profits tax deduction, as well as administrative issues on tax payment upon objection and penalties. Overall, candidates obtained fair and satisfactory results in Questions 5 and 7 respectively, but received relatively low marks in Question 6, due to a misunderstanding of the requirements of Questions 6(a) and (b). Many candidates did not attempt Question 8, perhaps due to insufficient time and/or being unfamiliar with the relatively new topic. Candidates should improve their time management and read the requirements of the questions carefully. If candidates attempt to answer each question, they should be able to earn at least some marks on areas where the level of difficulty is not that high.

**Specific Comments**

**Question 5(a) – 5 marks**

This question required candidates to suggest three types of documentation to support deduction claims for service fee expenses and to comment on its deductibility. Quite a number of candidates earned more than half of the maximum marks by suggesting payment evidence, service agreement, and evidence of services rendered. However, candidates were weak at the deductibility of expenses. Many candidates simply quoted the relevant provisions of the Inland Revenue Ordinance ("IRO") but did not link this up with the background facts to score marks. The overall performance of this question was satisfactory.

**Question 5(b) – 7 marks**

This question required candidates to explain the profits tax treatments in respect of certain expenses and capital loss items. Whilst many candidates could point out photographic equipment stolen were capital in nature and thus not deductible, very few candidates were able to come to the correct conclusion on petty cash stolen. Some candidates considered petty cash stolen as bad debts and thus deductible. Surprisingly, quite a number of candidates wrongly considered that traffic fine was deductible on the basis of it being wholly used for business purposes. The overall performance was fair.

**Question 5(c) – 5 marks**

This question required candidates to compute profits tax computation including appropriate treatment of loss set-off and calculation of provisional tax. This was an area less addressed in past examinations and, perhaps due to a lack of practical experience, candidates' performance was less than satisfactory. Very few candidates understood how to compute the provisional tax by taking into account loss brought forward from the year of assessment 2021/22.



Question 6(a) – 3 marks

This question required candidates to advise the requirement of tax payment in the context of objection lodged. Though the majority of candidates could draw the correct conclusion that tax must still be paid pending the result of objection, very few candidates were on the correct reasoning and only a few candidates were able to mention s.71(2). Some candidates discussed objection requirements, timeframe for holdover or imposition of surcharge, which were irrelevant to the question requirements and thus cannot earn any marks. Performance on this question was poor.

Question 6(b) – 4 marks

This question required candidates to advise the treatment of tax payment upon objection in terms of IRD's policy. Surprisingly, candidates' performance in this question was poor. Many candidates misunderstood the question requirements and discussed holdovers of tax or objection procedures, which were totally irrelevant. Some candidates provided answers from the taxpayer's perspective, thus scoring low marks. Should candidates read the questions carefully, they should be able to get reasonable marks on this question.

Question 6(c) – 3 marks

This question tested the candidates' understanding of relevant penalty provisions under the IRO. This was a popular topic in tax administration, and candidates were well trained to tackle this type of question by quoting s.80(2) and s.82A and elaborating on the consequences. Some candidates were able to correctly point out it was a case of giving incorrect information under s.80(2)(c) and even to mention s.80(5). Performance on this question was satisfactory.

Question 7(a) – 8 marks

This question required candidates to demonstrate their understanding of the correct tax treatments for first registration fee and annual membership fee. This was a relatively straightforward question. Many candidates were able to point out that the fees were Eric's personal liability to pay and concluded that their reimbursements were taxable. Nonetheless, on the deductibility's side, many candidates mentioned self-education expense, which was not relevant. A few candidates even misread the question and wrote answers from the employer's perspective. Overall, the performance was fair.

Question 7(b) – 4 marks

This question required candidates to discuss the taxability of "e-Dollars". Performance in this question was satisfactory. Most of the candidates identified it was money's worth and reached the correct conclusion. However, despite hints given on the background facts, some candidates still wrongly considered that e-Dollars could not be convertible into cash and thus drew the conclusion that it was not taxable.



Question 7(c) – 4 marks

This question required candidates to prepare salaries tax computation based on the case facts and incorporating their answers from Questions 7(a) and (b). The question was straightforward and the overall performance was satisfactory. However, quite a number of candidates failed to note that additional dependant parent allowance should be allowed. Further, many candidates could not compute the standard rate correctly. This indicated that candidates' knowledge in tax computation had room for improvement.

Question 8(a) – 2 marks

This question required candidates to advise two circumstances under which no deduction for domestic rent would be allowed. This was a very straightforward question with relevant answers readily available in the study materials. The majority of candidates who attempted this question found no difficulty in earning full marks. Candidates who skipped this question lost the opportunity to score marks where the level of difficulty was actually low. The importance of time management was demonstrated in this question.

Question 8(b) – 2 marks

This question tested candidates' knowledge on what was a qualifying tenancy. Many candidates were able to identify that the given facts indicate that the long staying agreement was not a qualifying tenancy, and thus no deduction could be allowed. Performance on this question was satisfactory.

Question 8(c) – 3 marks

This question required candidates to compute the amounts of domestic rent allowable to a couple in the year of marriage. Performance on this question was diverse. While a considerable number of candidates failed to attempt this question, well-prepared candidates scored full marks on this question. Quite a number of candidates were not aware that the deduction ceiling was reduced in proportion to the contractual period of the tenancy that overlapped with the year of assessment. Domestic rent deduction is a common deduction item in salaries tax. Candidates should ensure that they have a thorough understanding of this topic.

**(III) Conclusion and Recommendation**

Candidates are encouraged to have balanced knowledge of both fundamental tax issues and recently introduced new topics. Similar to previous sessions, time management remains key to scoring satisfactory results. Careful reading of the question requirements will also help candidates avoid giving irrelevant answers.